

NAIROBI SCHOOL 2025 PREDICTION



KCSE ANTICIPATION EXAM



565/1

BUSINESS STUDIES

PAPER 1

TIME: 2 HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

INSTRUCTIONS

- Write your name and admission number in the spaces provided above.*
- Sign and write the date of examination in the spaces provided above.*
- Answer all the questions.*
- All answers should be written in the spaces provided in this booklet.*
- Candidates should answer all the questions in English.*

FOR EXAMINER'S USE ONLY

QUESTION	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
MARKS															
16	17	18	19	20	21	22	23	24	25						

Answer all the questions.

1. Outline four strategies put in place by the chain stores management so as to easily publicize their business.

(4 marks)

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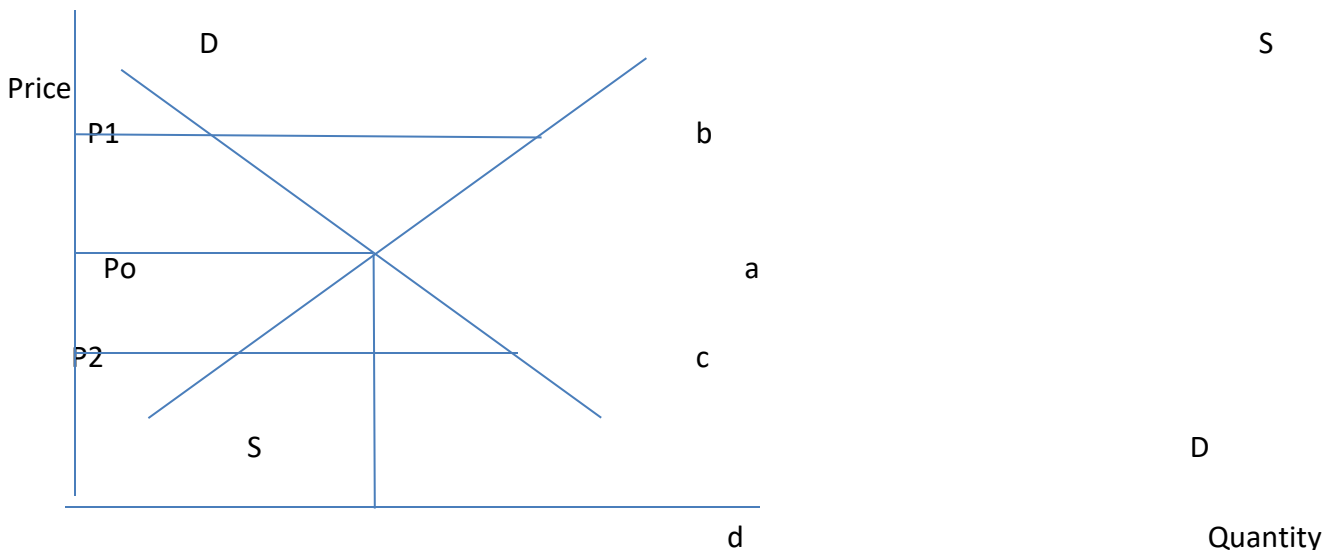
2. Apart from memorandum and articles of association, name four other documents required by the registrar of companies during the registration of a public limited company. (4

marks)

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3. Identify the parts labeled a,b,c and d.

(4 marks)



a......

b......

c.....

d.....

4. Outline four ways in which commerce satisfies human wants.

(4 marks)

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5. State the purpose of the following terms as used in insurance:

i. With average clause.

(1 mark)

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ii. Grace period.

(1 mark)

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iii. Assignment.

(1 mark)

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iv. Nomination.

(1 mark)

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6. From the following statements, identify the suitable characteristic of an entrepreneur. (4 Marks)

Statement	Characteristic
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a) Entrepreneurs are achievers who work towards set goals.	
b) Entrepreneurs can sense opportunities in the future by observing world trends.	
c) Entrepreneurs are committed to their work	
d) Entrepreneurs do not give up easily	

7. Analyze the following document issued by Maalim traders.

MAALIM TRADERS P.O BOX 00134 M, NAIROBI. 02 ND ,JULY, 2023 DEBIT MURIFE LIMITED P.O BOX 987T KISUMU Terms: 17/20, 11/30 & N/30 on Furniture only		
Quantity Rate Shs	Shillings	
60 240,000	Dinning tables Mvuli	4000
4 2000	Beds	
50 50,000	8000 Coffee Tables	1000
4 10,000	Less trade discount 10% Floor carpets	on totals 2500
	Less 10% trade discount Carriage	

7500
E&OE TOTALS

a) i. Identify the above document.

(1 Mark)

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b) State the meaning of:

i) E&OE

(1 Mark)

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c) Calculate the amount paid for the goods, if the debtor paid on 24th, July, 2023. **(2 marks)**

8. State the meaning of the following in relation to international trade:

(4 marks)

i. F.O.Q

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ii. FRANCO

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iii. Letter of Hypothecation

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iv.Closed indent

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9. Given below is a cashbook extract from the books of Kanja

Date	Details	Folio	Disount Allowed	Cash	Bank
1/06/08	Bal.	B/d		11,000	60,000
5/06/08	Furniture				10,000
24/06/08	Cash	C			75,000
29/06/08	Ndereba		6000	114,000	
30/06/08	Wairimu		4000		16,000

In relation to the entries appearing in the cashbook extract, state the transactions that took place on each of the following dates:

(4 marks)

a) 05th, June, 2008

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b) 24th, June, 2008

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c) 29th, June, 2008

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d) 30th, June, 2008

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10. Identify any four units of carriage that can be used to transport containers. (4 marks)

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11. Identify the type of error made in recording each of the following transactions in the table below:
(4 marks)

Transaction	Type of Error
a) The amount in an invoice for goods purchased was recorded in the books as KES 8,000 instead of KES 800	
b) Purchase of office machine was debited to the purchases account.	
c) Despite agreement of the trial balance, sales and purchases had been overstated by KES 6,000 in each case.	
d) A cheque for KES 110,000 was recieved from Amwoka, debited in his account and credited in the bank account.	

12. State four ways in which employees may contribute to the success of an organization.
(4 marks)

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13. For each of the following transactions, state the source document and the book of original entry in which the transactions would be recorded.
(4 marks)

TRANSACTION	SOURCE DOCUMENT	BOOK OF ORIGINAL ENTRY
a) Goods worth 760,000 which had been bought from Andika wholesalers ,in cash, were found defective and were returned.		

b) Stock of goods worth 138,000 was sold to Juma on credit.		
c) Paid Creditor Masafu 980,000 shillings cash		
d) Bought machinery worth 800,000 on credit		

14. Kenya's total Budget for the 2023/2024 financial year is KES 3.68 trillion shillings. The budget deficit is 718 Billion out of which 586.5 Billion will be sourced locally and the rest externally. Advise the Kenyan government on various local and external sources it should turn to in order to finance her deficit budget.

(4

marks)

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15. State four positive effects of inflation to an economy.

(4 marks)

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16. Name the forms of economic integration described by each of the following situations:

(4 marks)

- a) Free trade exists between member countries but common external tariffs are levied on non-member states.....
- b) Has policies of freedom of movement among member states.....

- c) Members abolish tariffs, quotas and any other barriers when trading amongst themselves but each country sets independent barriers for trade with non-member states.....
- d) Member states establish common infrastructure and institutions among themselves.....

17. Outline any four ways in which the government may use to entice foreign investors to the country. .

(4 marks)

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18. Outline four differences between savings account and fixed deposit accounts. **(4 marks)**

SAVINGS ACCOUNT	FIXED DEPOSIT ACCOUNT

19. The following information was extracted from the national income statistics of country Z:

Income from land lease and commercial buildings 980,000

Depreciation on capital goods	197,623
Income to entrepreneurs	763,041
Value of exports to Europe	479,109
Income from loans	896,534
Income from labor	814,276

Value of imports

584,298

Determine:

a) Gross Domestic Product

(1 mark)

b) Net Domestic Product

(1 mark)

c) Gross National product

(1 mark)

d) Net National Product

(1 mark)

20. Outline four circumstances under which sign language can be the most appropriate means of communication.

(4 marks)

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21. State four ways in which consumers may protect themselves from exploitation against unscrupulous traders.

(4 marks)

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22. Name four types of oligopoly markets other than duopoly.

(4 marks)

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23. List any four details that are contained in a cheque.

(4 marks)

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24. The following information Elimu traders for the year 2022:

Turnover	270,000
Mark up	20%
Rate of Stock turnover	6 times
Closing Stock	25,986

Required:

a) Gross Profit.
(1 mark)

b) Cost of goods sold.
(1 mark)

c) Opening Stock.
(2 marks)

25. Outline four disadvantages of personal selling.
(4 marks)

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